

CHARTER COMMUNICATIONS INC CHTR S

August 26, 2026 - 2:56am EST
by

Den1200

2026 2027

Price:	155.14	EPS	0	0
Shares Out. (in M):	164	P/E	0	0
Market Cap (in \$M):	25,396	P/FCF	0	0
Net Debt (in \$M):	115,179	EBIT	0	0
TEV (in \$M):	139,700	TEV/EBIT	0	0
Borrow Cost:	Available 0-15% cost			

Description

The bull case on Charter is easy to understand. The company now has roughly \$26–27 billion of pro forma EBITDA, CapEx should fall sharply as the current network build programs roll off, and management believes it can delever toward 3.5x while eventually returning capital to shareholders. On the surface, that looks like a very large cash-flow machine sitting behind a depressed stock price.

I think that framing misses the part of the story that matters most: Charter is entering the most competitive period the U.S. cable industry has faced in decades, and it is doing so with an unusually leveraged capital structure. Fiber is attacking cable on quality and increasingly on price. Fixed wireless is attacking from the low-cost end. The old DSL competitor is disappearing, but it is being replaced by two products that are much more credible than DSL ever was.

The short does not require Charter to lose its network advantage overnight, nor does it require bankruptcy. It only requires a fairly ordinary competitive outcome: lower Internet penetration, some price pressure on the customers who remain, continued runoff in video and voice, and refinancing at materially higher rates than the company enjoyed when much of the debt was issued. With roughly \$109 billion of debt and another \$6.18 billion of preferred claims ahead of the common, that is enough to make the equity highly convex to even a moderate EBITDA decline.

Post-Cox starting point

Metric	Working post-close figure
Serviceable footprint	~71m passings (homes and businesses)
Internet customers	~35m; roughly 49–50% penetration
Normalized pro forma EBITDA	~\$26.65bn before future synergies
Gross debt	~\$109bn
Cox convertible preferred	\$6.0bn at 6.875%
Liberty preferred	~\$179.6m at 7.0%
Economic common shares	~163.7m, excluding Cox preferred conversion
EV at \$150/share	~\$139.7bn

These are working pro forma figures because the Cox transaction closed on August 20, 2026 and Charter has not yet reported a fully consolidated post-close quarter. That distinction matters: the write-up is intentionally from the post-Cox perspective, but some of the combined operating figures still have to be assembled from Charter's latest results and Cox's last separately disclosed operating data.

1. The market that built cable is disappearing

The best way to understand Charter's competitive risk is to compare today's market with the one that produced cable's economics in the first place. Ten years ago, most neighborhoods effectively offered cable versus DSL. DSL was usually slower, its economics were deteriorating, and home-broadband adoption itself was still growing. Cable could take share, raise price and spread a largely fixed network cost over more customers. That was an excellent setup for operating leverage.

The next decade looks very different. Copper is on its last legs. Fiber coverage has expanded rapidly, and fixed wireless is now a scaled national product. In the urban and suburban core, the relevant choice is increasingly cable, fiber and FWA, with a second fiber operator appearing in some of the most attractive neighborhoods. At the same time, the household broadband market is mature enough that there is much less first-time adoption available to hide share losses.

Fiber does not need heroic assumptions

The most important fiber statistic is not theoretical bandwidth. It is take rate. The 2025 FBA/RVA work puts average U.S. take rate on unique marketed fiber passings at 46.5%. Frontier's old 3.2 million-location Base Fiber footprint reached 48.0% penetration in Q3 2025, and Verizon describes its most mature FiOS markets as being in the high-40% range. Frontier is particularly useful because the same old fiber footprint had fallen to roughly the low-40s around 2020 and then recovered toward 48% under better execution. That is evidence that 48% is not simply the result of waiting twenty years; a better product, pricing and customer experience can move penetration materially in a few years.

I would still not underwrite every new fiber cohort at 48% from day one. A reasonable conservative view is 35–40% for younger competitive builds, moving higher as the markets season. The point is that even this lower take rate becomes dangerous for cable when availability approaches saturation.

FBA/Cartesian measured 64% urban and 54% suburban fiber availability in 2024, while FBA/RVA reported 84.6 million unique U.S. homes marketed with fiber in 2025, or more than 60% of primary households nationally. I therefore treat 90–95% urban/suburban availability by 2030 as a expected outcome. But that timeline could stretch to the 2032 period too.

FWA matters because it does not need to be the best product

Fixed wireless is the other side of the squeeze. It is not literally free to the carriers—spectrum and network capacity have real opportunity costs—but the incremental economics can be very attractive where wireless networks have spare capacity. More importantly, it gives a large group of customers a product that is simply good enough at a much lower price. A household that is empty most of the day, does not care about a landline or traditional video bundle, and mainly streams at night does not need a perfect fiber connection. It needs reliable broadband at a price it likes.

That is why I think a durable 15% FWA share is a reasonable long-run assumption and 20% is not implausible. But capacity wise FWA can achieve between 35% and 40%. The thesis does not depend on FWA replacing fiber. It only needs FWA to keep taking the low-price segment that historically defaulted to cable.

Price matters as much as share

Cable bulls tend to focus on the fact that DOCSIS 4.0 will make the product technically competitive with fiber for almost every household. I

agree with that. Charter should finish the upgrade. The problem is not that coax stops working; the problem is that a good coax product is being sold into a market with several good alternatives where there were none before.

The pricing evidence in the source work is uncomfortable. S&P/Kagan found roughly a \$20 monthly gap between selected 500 Mbps fiber and cable offers, and the California Public Advocates study showed meaningful repricing when fiber entered a cable market with cable repricing down between 20 usd to 30 usd for 1 Gbps plans the moment fiber arrived. The exact gap varies by promotion and bundle, but I do not think Charter can assume that monopoly-era pricing survives once fiber is widely available. For the stress case below I use only a \$10 monthly reduction in realized Internet price—far less than the \$20–\$30 gaps seen in some overbuilt markets.

2. Why a modest share loss creates a large EBITDA problem

Internet is the economic anchor. Video has become a structurally declining and increasingly pass-through business. Voice is high margin and disappearing faster. Mobile is strategically useful, especially for retention, but its standalone margins are much lower because Charter pays Verizon for network usage. The high-margin product is still broadband.

That matters because most of the physical cost does not disappear when a broadband customer leaves. The network still passes the house. The plant, electronics, maintenance organization, IT stack, field operations and much of the corporate infrastructure remain. Cable benefited from operating leverage on the way up; the same mechanism works in reverse when penetration falls.

A 10 percentage-point penetration loss is not an extreme endpoint

On roughly 71 million post-Cox passings, a 10 percentage-point decline in Internet penetration means about 7.1 million Internet customers lost. That would take combined penetration from roughly 49.5% to about 39.5%. I do not view 39.5% as a draconian terminal assumption if fiber eventually passes almost every urban/suburban home and FWA holds a meaningful low-cost share.

That 7.1 million-customer loss by itself removes roughly \$5.7 billion of EBITDA after allowing for the associated effect on video, voice and mobile relationships. On a \$26.65 billion starting base, EBITDA falls to roughly \$21 billion before any additional price pressure.

The more realistic stress is price plus volume

I think the cleaner stress case is to combine modest price pressure with the share loss. Assume Charter/Cox loses 7.0 million Internet customers; the customers who remain pay \$10 less per month; video customers fall another 5%; voice falls another 20%; and mobile is held flat rather than assuming another leg of downside.

EBITDA bridge	\$bn
Starting normalized post-Cox EBITDA	26.65
7.0m Internet customers lost	(4.73)
\$10/month lower price on remaining Internet base	(3.39)
Video customers -5%	(0.26)
Voice customers -20%	(0.28)
Resulting EBITDA	~17.99

The \$10 price cut is the most important line in that bridge. After losing 7 million customers, Charter/Cox would still have roughly 28.3 million Internet customers. Ten dollars per month across that base is about \$3.4 billion of annual revenue. Unlike a subscriber loss, there is almost no variable-cost relief associated with a price cut. Most of it flows straight through to EBITDA.

This is the part of the short that I think is easiest to underestimate. The market does not have to collapse. Charter can still have nearly 28 million Internet customers and roughly \$18 billion of EBITDA. That sounds like a large, healthy business. The problem is what sits underneath it. Now personally I am trying to be conservative. But I would be very surprised if CHTR's terminal state of urban/suburban penetration is now a good amount below 39.5% and if the ARPU for Coax internet is not down at least 15 usd per month in the next future. Fiber is the superior product and FWA is the cost leader. And Coax will sit there in the middle wondering how it can compete best. A very different picture from 10 years ago when its main competition was super low quality DSL.

3. The balance sheet turns an operating problem into an equity problem

At a \$150 share price, the working post-close enterprise value is about \$139.7 billion. Only about \$24.6 billion of that is common equity. Ahead of the common sit roughly \$109 billion of debt, a \$6.0 billion Cox convertible preferred paying 6.875%, and about \$180 million of Liberty preferred paying 7%. In economic terms, more than \$115 billion of claims sit ahead of the stock.

That is why the equity can be badly impaired without Charter ever approaching insolvency. At the current roughly 5.24x EV/EBITDA multiple, a \$5.7 billion decline in EBITDA represents almost \$30 billion of enterprise value if the multiple stays unchanged. That is already larger than the entire common-equity capitalization at the \$150 reference price. I would not use that as a mechanical price target, but it shows how thin the equity cushion is relative to plausible EBITDA variance.

The 3.5x target is a moving target

Management said on the Q2 2026 call that the post-transaction leverage target is a flat 3.5x net debt to LTM Adjusted EBITDA, with the goal of getting there within three years of closing Cox and Liberty. That is a sensible objective. It also creates a problem if EBITDA is falling: every \$1 billion of permanent EBITDA decline reduces the debt level consistent with 3.5x leverage by \$3.5 billion.

Adjusted EBITDA	Debt allowed at 3.5x	Paydown from \$109bn
\$27.0bn	\$94.5bn	\$14.5bn
\$25.0bn	\$87.5bn	\$21.5bn
\$23.0bn	\$80.5bn	\$28.5bn
\$20.0bn	\$70.0bn	\$39.0bn
\$18.0bn	\$63.0bn	\$46.0bn

This is where I struggle with the aggressive buyback argument. At today's EBITDA, management already needs meaningful debt reduction to reach 3.5x. If EBITDA drifts down to \$25 billion, the target debt balance falls to \$87.5 billion. At \$23 billion, it falls to \$80.5 billion. Management can spend billions on debt reduction and still make little progress if the denominator is moving against it. A cheap stock is not, by itself, evidence that the company has excess capital available for buybacks.

4. CapEx will fall. The question is whether EBITDA falls first.

There is a legitimate bull point here: today's CapEx is unusually high. The combined Charter/Cox run rate is roughly \$13.3 billion in 2026. As Charter finishes the rural build and network evolution program and as Cox capital synergies are realized, a reasonable planning path is roughly \$11.5 billion in 2027, about \$10.1 billion in 2028 and around \$9.8 billion in 2029. A hard harvest case could push maintenance-ish CapEx toward \$7.5 billion if management also stopped discretionary line extensions.

For the stress analysis I use \$9.5 billion. That gives Charter considerable credit for CapEx normalization before testing the balance sheet. In other words, I am not assuming the current \$13.3 billion CapEx burden persists forever.

Refinancing can eat the remaining cushion

The working average cash cost on the \$109 billion debt stack is about 5.35%, or roughly \$5.83 billion per year. The Cox preferred adds \$412.5 million of annual cash cost and the Liberty preferred another \$12.6 million. The refinancing issue is that Charter's marginal borrowing cost is already much higher than much of the debt being refinanced. August 2026 secured notes priced at 6.05% for 2032, 6.60% for 2034, 6.95% for 2036 and 7.85% for 2056. \$64 billion of debt that must be either paid down or refinanced through 2035.

Every 100 basis points of additional average borrowing cost on \$109 billion is about \$1.09 billion of annual interest. That gives a very simple way to see how little room is left in the stress case:

\$bn	Current debt cost	+150 bp	+350 bp
Average rate on debt	5.35%	6.85%	8.85%
Stressed EBITDA	17.99	17.99	17.99
CapEx	(9.50)	(9.50)	(9.50)
EBITDA - CapEx	8.49	8.49	8.49
Debt interest	(5.83)	(7.47)	(9.65)
Cox preferred	(0.413)	(0.413)	(0.413)
Liberty preferred	(0.013)	(0.013)	(0.013)
Residual before tax / WC / other	2.24	0.60	(1.58)

That table is the heart of the balance-sheet risk. Even with roughly \$18 billion of EBITDA and after giving Charter credit for CapEx falling to \$9.5 billion, the company has only about \$2.2 billion left before taxes and working capital at the current debt cost. If the average debt cost rises 150 basis points over time, the cushion falls to roughly \$600 million. At +350 basis points, EBITDA no longer covers CapEx plus debt interest and preferred distributions. In time I believe that the +150 bps increase in cost of debt is a close certainty. But for example we have debt issued by charter into the 2040s in the 3% range that today yield 7% plus. And one more insight, the AI bubble today is so damn massive it has been crowding out the US government recently, and the AI to infinity crowd is going to keep this going until it bursts. The AI crowd seems to think that the more capex one invests the higher the odds of high ROIIC so it looks like next year they are going to add another 30% to the AI infrastructure build. And since these people think they are guaranteed plus 20% ROIIC they will gladly pay 8.5% or more even on secured debt. Good luck to the rest of the economy on this. If the AI bubble can crowd out the us government, then the rest of the economy is going to have to also pay up rate wise. But a reversal of the AI borrowing bubble would turn down yields very fast indeed.

5. What could make the short wrong

There are several real ways this thesis can fail, and they are worth taking seriously.

- DOCSIS 4.0 could prove more effective than expected at stabilizing churn and preserving price. For the vast majority of households, the product will be fast enough. In areas where DOCSIS 4.0 is we see no change in penetration dynamics.
- Cox integration synergies could exceed the conservative assumptions used here, both in operating expense and in capital intensity.
- The CapEx decline could arrive faster than expected, creating enough cash to delever before broadband pressure becomes severe.

The central question, however, is whether those offsets are large enough to preserve the \$26-27 billion EBITDA base. I do not think the stock requires an extreme bear case to work as a short. If Internet penetration falls by roughly 10 percentage points and realized Internet price gives back only \$10 per month, the operating model already looks very different. The company would still be large, still generate substantial EBITDA and still own valuable infrastructure. But the common equity would sit beneath a capital structure built for a more stable competitive environment.

Conclusion

My concern with Charter is not that fiber makes coax obsolete. It does not. DOCSIS 4.0 should keep the product technically competitive for years. The problem is that cable is losing the market structure that made the economics exceptional. Fiber is becoming ubiquitous, FWA is establishing a low-price floor, and the old ability to raise price while holding penetration is becoming harder to assume.

Post-Cox, that operating change matters much more because of the balance sheet. Roughly \$109 billion of debt and \$6.18 billion of preferred claims sit ahead of a comparatively small common-equity value. Management wants to reach 3.5x leverage, but a shrinking EBITDA denominator moves the goalposts lower every year. CapEx normalization helps, but it does not solve the problem if broadband pricing and penetration weaken at the same time.

The stock therefore does not need a bankruptcy thesis. It only needs the market to recognize that \$26-27 billion of EBITDA is not the same thing as \$26-27 billion of cash available to delever, and that a modest amount of broadband competition can remove several billion dollars of EBITDA before the fixed claims in the capital structure move at all.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Lower ARPU

Declining video and voice

Less internet subs

Debt refi wall

Messages

Subject BlinkingGuy.gif
Entry 08/26/2026 03:03 AM
Member bowd57
 Hi, Den --

> Ten years ago, most neighborhoods effectively offered cable versus DSL.

If that was 20 years ago, I'd say sure, maybe. I'm a hipster urbanite. Am I that out of touch with what's going on in Real America?

Yours,

Bowd

Subject Chuckles In AI Adoption Forecasts
Entry 08/26/2026 03:06 AM
Member bowd57
 Hi, Den --

Sorry for sidetracking your excellent writeup. But:

> That is evidence that 48% is not simply the result of waiting twenty years

Yours,

Bowd

Subject Thanks for the writeup
Entry 08/26/2026 03:20 AM
Member bowd57
 Hi, Den --

I appreciate and enjoyed it. It hits me that you're talking about a large company in a large industry where my lack of personal/professional experience leaves me ... clueless.

I live in NYC. There may be alternatives to Verizon's FIOS broadband monopoly, but they haven't been able to penetrate my refusal to open junk mail or read spam, so I don't know what they are. I'm apparently living in a bubble, I said, while drinking green tea and making my own sourdough bread.

Your writeup is neither long nor hard to understand. I'm asking a question you've already answered: How much of the risk here is macro, by which I mean just rolling over debt at higher rates? This an "avoidance of doubt" question, not, "something you haven't addressed."

Yours,

Bowd

Subject This is Why I Hate EBITDA
Entry 08/26/2026 03:32 AM
Member bowd57
 Hi, Den --

Obviously nothing happens to EBITDA if interest expense goes up. What happens to GAAP earnings if you pencil in steady prices & steady share -- in other words, assume the thesis is wrong -- but include reasonable increases in interest expense as CHTR rolls over its debt? Say that as an urban hipster all I understand are the subtle distinctions between vegan and vegetarian, and the rest of the writeup about DOCSIS this and coax that just sounds like Pentagon mind control. What are the impacts of just needing to refinance?

Note that the question is relevant beyond Charter. It's a perennial of doomsterism, that I haven't seen more bruited about doubtless shows I'm not paying much attention.

Yours,

Bowd

Subject risk/reward
Entry 08/26/2026 09:15 AM
Member waterstreetcapital

This is a question I have wanted to ask CHTR shorts and I am glad I finally get a chance. We can debate fiber ROIC, FWA capacity, satellite expansion, ARPU, etc. but at the end of the day I don't think there is a clear answer to some of these questions (I would point you to my write up in November if you want to see some of the bullish counterpoints). We live in an uncertain world with a lot of moving parts. In my mind, the right way to think about this situation is the probability weighted risk/reward. Leverage cuts both ways. How much do you lose as a short if you are wrong? Last I checked, this was the most shorted stock in the S&P - something like ~50% of the institutional shares were lent out. It is trading at ~2.5x FCF/share if you use management's \$60/sh number (this was before Cox, I believe the Cox txn is slightly accretive to FCF/share). Of all of the shorts out there, I struggle to see how this is the best risk/reward.

Subject
Entry
Member

Re: risk/reward
08/26/2026 09:49 AM
blaueskobalt

Hi Den,

I thought this was a strong writeup and I generally agree with your thesis.

However, I covered some time ago - largely for reasons brought up by waterstreet: this is a crowded short, and leverage cuts both ways. I have a rule of thumb that, "time is the enemy of a short where MC/EV is less than 25%," I tend to cover my shorts around that level unless I think BK (or some other hard catalyst) is nigh. How do you think about those issues, generally and with respect to CHTR?

Subject
Entry
Member

FWA as the "value" option
08/26/2026 04:17 PM
compound248

I have a very small Charter long, so I'm biased to that perspective. But, in Charter (Spectrum) and Comcast (Xfinity) markets, I'd note that FWA's "value" advantage has largely (and recently) been priced out by competitive responses from the cablecos. You might rightly say, "well then, ARPU is a worry," but repricing the back-book is a VERY gradual process and most of the new, lower pricing happens on the front-book.

Ultimately, I think you're less likely to see overall broadband ARPU decline meaningfully. Rather, it's more likely we see ARPU hold near-flat as the cablecos inject more speed and benefits into a given price point.

Example:

Below, I've copied and pasted Spectrum and Xfinity's current broadband-only offerings vs Verizon and T-Mobile FWA vs AT&T fiber.

Some observations:

- Verizon's FWA plans are barely competitive (especially considering two of its plans are low-speed).
- T-Mo's expected speed is ~300mbps and if you choose its middle plan (\$60/m), you could instead get 1G from Charter for the same price or, at Comcast, pay \$10 less for a Gig. And both Charter and Comcast provide a free mobile phone line for a year.
- Overall: At a given price, Spectrum and Xfinity are now offering MUCH more value than FWA (and Xfinity guarantees you no broadband price increase for 5 years).

2.5 years ago, when I wrote up [WOW on here](#), you can see that Spectrum was charging \$90/m for 1 gig, \$70/m for 500mbps, and \$50/m for \$300mbps. Today, those are basically \$60, \$40, and \$30 (\$30 for 100mbps)

2.5 years ago, Xfinity for the same speeds was: \$70, ~\$55, and \$30. Today, those are \$10-\$20 cheaper across the board. AND both Spectrum and Xfinity provide a 12-month free mobile phone line worth \$30-45/month thrown in.

ON THE OTHER HAND, whereas cable has cut prices, injected value, and added guarantees, FWA has raised prices. T-Mo has raised prices \$10 across the board over the 2.5 years.

FIBER:

On the fiber side, AT&T (the biggest fiber player / builder) has promotional offers that are similarly priced to cable, but only for 12 months, before they increase by \$15 to \$30/month (likewise Spectrum prices increase after 12-months, though Xfinity provides a 5-year price lock)

All of that is to say, I agree with you that the cozy near-monopoly of cable is over (obviously), and you didn't even really hit on Starlink as yet another threat (more expensive and slower, but it's been lowering prices, so who knows).

IMO, the hard part is Mr. Market is already pricing in a lot of your thesis - certainly it's not pricing a stabilizing business, given the equity is trading at ~3x free cash flow. So, if things are merely "less bad," the stock could absolutely rip.

Will they stabilize? Hard to say. But that would create an absolute rocket ship. While your case is certainly possible (which is part of why it's a small, rather than large, position for me), "less bad" seems highly possible, meaning the "risk" of a \$400+ stock price is very real, given the cash generation and leverage.

Shorting seems like a bad risk/reward here.

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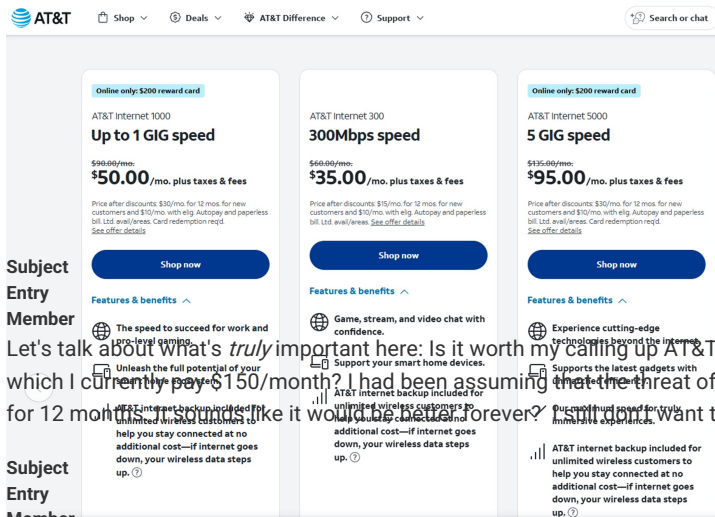
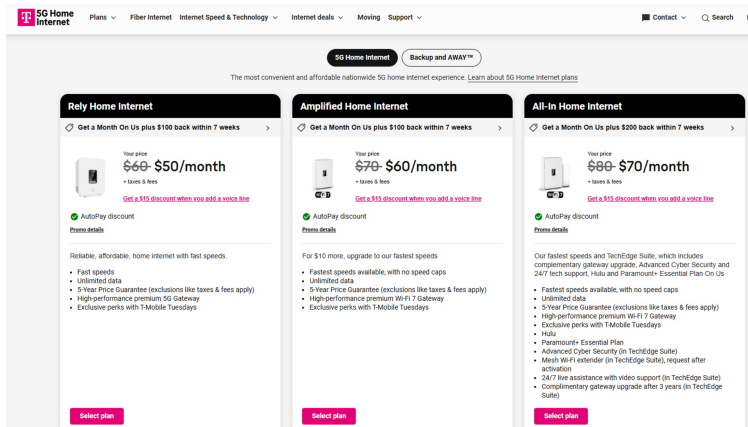
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Subject
Entry
Member

Let's talk about what's *truly* important here: Is it worth my calling up AT&T to try to get them to lower the price of my 1g fiber + wired phone line (no TV), for which I currently pay \$150/month? I had been assuming that the threat of switching to the cableco isn't that powerful because their better rate would only last for 12 months. It sounds like it would be data forever? I still don't want to actually switch, I just want a more credible threat.

Re: FWA as the "value" option
08/26/2026 05:23 PM
katana

Subject
Entry
Member

Re: Re: FWA as the "value" option
08/27/2026 03:06 PM
goirish

Den1200 – I've been wrong on CHTR and this is worth acknowledging upfront. Understandably, public markets hate melting ice cubes and often for good reason and therefore the subset of investors who will even consider this is limited. That said, I think the combination of a bombed-out valuation, high visibility on reduced capex and the tenor of CHTR's debt are unique here. If there was a bullet debt maturity in the next 2-3 years, I would not be involved. But this is not the case. Further, I wanted to make a couple of counter points to the bear case which I thought was presented very fairly.

A few, briefly.

A cleaner way to frame the whole debate. Consensus shows roughly flat ARPU, declining subs, and flat EBITDA across the 2027-2030 period — the difference made up by synergies and cost takeout. If consensus is even approximately right, then Charter deleverages and retires a large chunk of the equity base, and FCF per share gets even more ridiculous. So for the short to work, consensus has to be materially wrong. That's a legitimate thing to argue — but it should be stated plainly.

On ARPU. The industry is moving to a converged sale, and Charter sells on that basis — internet plus mobile plus increasing video attach, one household bill. The standalone, single-product price gaps (Kagan; the Cal Advocates repricing) aren't the relevant number, because the persistent converged bill is where cable is actually competitive-to-favorable (some of previous replies highlighted this) — the telcos subsidize cheap FWA/fiber off unlimited mobile plans they over-earn on, while Charter passes through a low-cost MVNO. So the realized pressure isn't a \$10 cut on a standalone product; it's a converged relationship where mobile lines and video attach are rising, not fleeing. Q2 is consistent with that — 400k+ mobile lines, video losses improving to –21k from –80k.

And the volume gap is where that disagreement lives. The bridge needs ~7.1M combined internet losses. Consensus has Charter standalone shedding ~2.5M through 2030 (47%→39% penetration); add ~0.8M for Cox and a like-for-like combined figure is ~3.5M — roughly half that – admittedly, these numbers very well could increase as analysts update their models ahead of Q3 results to incorporate Cox. That said, 7.1M isn't a modest outcome; it's about double consensus on a matched basis.

The cohort that has to churn has shown little intent to do so. Morgan Stanley's broadband survey puts cable switching intent at 22% — lowest of any technology — with ~47% of cable subs never having switched, against a base that skews older. A 10-point penetration collapse requires exactly that sticky, never-switched cohort to start leaving.

Cox is a tailwind the terminal excludes. Cox's mobile and video attach is minimal; Spectrum will reprice into that footprint with converged bundles and a free year of mobile. The \$800M of synergies (going to \$1B, now called conservative) aren't in the bear terminal either – given history with TWC/Brighthouse/Bresnan, there is little chance that CHTR is throwing out \$1 billion target if they didn't think they would exceed this number. This doesn't reverse the decline but certainly cushions the EBITDA line the short needs to crater.

On the product: I'm writing from a DOCSIS 4.0 home in Northern California, now running symmetrical 2/2. With fiber coming into the neighborhood at maybe 5/5, am I more likely to defect (T offer may be lower but total mobile/FTTH will be more expensive)? At parity for any real-world use, this is a price-and-service fight, not a spec ladder. And FWA is taking share from fiber too, not just cable — the tell that consumers don't buy on the speed ladder, which undercuts the "fiber marches to 40%+" leg. RBC put out a detailed fiber piece pegging terminal fiber penetration under 30% in multi-player markets, with incremental builds getting worse as they push rural.

Starting valuation/Visibility on Capex Reduction/Debt Tenor Directionally this case is close; cable is under real secular pressure and I'm not arguing otherwise. But given the starting valuation/capex visibility/debt tenor, the equity outcome is likely decided by the near-term cash return rather than the terminal case. Even spending well under 50% of FCF on buybacks, Charter retires a significant number of shares. And they will not overbuild themselves with FTTH — they'd go bankrupt before torching cash that way — and there's very little risk they overspend versus the stated capex path.

On the debt tenor specifically: we designed a bear scenario to break the balance sheet with larger sub losses/sharper ARPU declines than the writeup. The equity clearly suffers, and the short works in that world. But even at that extreme, the structure self-funds its maturities through 2031 — it covers interest, the preferred, and the wall out of cash, before crediting the liability management already underway. I think this is missing point in your convexity argument: the refi-under-duress catalyst doesn't fire in the next ~5 years, which buys years of option value — time for a Starlink partnership to make sense, or a Comcast combination if the path genuinely deteriorates.

I have lost money on plenty of melting ice cubes, and I keep rerunning numbers and trying to be conscious that I'm justifying a version of Yellow Pages Part 2. But after going through multiple scenarios, it still looks more asymmetric than a screaming short — though the volatility will be extreme either way.

Subject	Good discussion all around
Entry	08/27/2026 03:49 PM
Member	katana

Thanks, folks.